

Calendar Line 1

Case Name: *Frit San Jose Town and Country Village, LLC v. Philip Seaton*

Case No.: 23CV415982

Before the Court is defendant Philip Seaton's ("Defendant") demurrer to the First Amended Complaint ("FAC") filed by plaintiff Frit San Jose Town and Country Village, LLC ("Plaintiff"). Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling as follows:

I. Background

According to the allegations of the FAC, Plaintiff and Defendant entered into a lease agreement (the "Lease") pursuant to which Defendant agreed to lease the premises (Unit 2117 or the "Premises") located at 388 Santana Row in San Jose (the "Property") for a term of approximately one year, beginning on February 3, 2018, and ending on March 2, 2019. (FAC, ¶ 6 and Exhibit A.) Under the Lease, Defendant agreed to "promptly reimburse" Plaintiff for "loss, damage, government fines, or cost of repairs or service" due to any violation of the Lease, improper use of the Premises, or the negligence of Defendant or their guests. (*Id.*, ¶ 7.) Additionally, under the terms of the Lease, Defendant agreed to take steps to avoid fire hazards in the Premises, including not storing any flammable or combustible objects or substances near any item that would produce heat, such as a stove or oven. (*Id.*, ¶ 8.)

On June 16, 2018, a fire occurred at the Premises which caused significant damage to the Premises and neighboring units. (FAC, ¶ 9.) An investigation by the San Jose Fire Department determined that the cause of the fire was a plastic bag of groceries left by Defendant on top of an active stove in the kitchen in the Premises. (*Id.*) Plaintiff incurred \$86,640.07 in damages in order to complete all repairs and remediation necessary to return the Property and Premises to a safe and habitable condition. (*Id.*, ¶ 10.)

Following completion of the aforementioned repairs, Plaintiff contacted CSAA Insurance Group ("CSAA"), Defendant's renter's insurance carrier and agent, and demanded reimbursement for the repair costs it incurred. (FAC, ¶ 11.) On December 13, 2021, after engaging in extensive communications with CSAA, including providing them with the scope, photographs and invoices for the work done to remediate the Property and the Premises as a result of the fire, CSAA and Defendant ultimately refused to reimburse Plaintiff for any of its damages as a result of this incident. (*Ibid.*)

Plaintiff alleges that Defendant breached the Lease on December 13, 2021, and thereafter, by failing and refusing to reimburse it for the damages caused by the fire. (FAC, ¶ 12.) Plaintiff seeks these damages, as well as attorney's fees pursuant to Section 31 of the Lease.

Plaintiff initiated this action with the filing of the complaint on May 8, 2023, and filed the operative FAC on March 29, 2024, which asserts a single cause of action for breach of contract. On October 23, 2024, Defendant filed the instant demurrer to the FAC on the ground of failure to state facts sufficient to state a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) Plaintiff opposes the demurrer.

II. Defendant's Demurrer

A. Legal Standard

In ruling on a demurrer, a court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on a demurrer, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.

B. Discussion

Defendant argues that Plaintiff’s breach of contract claim is time-barred. In opposition, Plaintiff maintains that its claim is timely based on application of the doctrines of equitable tolling and equitable estoppel.

“A complaint showing on its face the cause of action is barred by the statute of limitations is subject to general demurrer.” (*Iversin, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990, 995.) The running of the statute must appear “clearly and affirmatively” from the dates alleged; it is not enough that the complaint *might* be barred. (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324-325.)

As stated above, the FAC asserts a single cause of action for breach of contract. In California, the limitations period for a breach of contract cause of action is four years. (See Code Civ. Proc., § 337, subd. (1) [stating that “[a]n action upon any contract, obligation or liability founded upon an instrument in writing” shall be brought within four years].) Ordinarily, such a cause of action accrues, thereby triggering the statute of limitations, at the time of the breach, regardless of whether any damage is apparent or whether the injured party is aware of his or her right to sue. (See *Niles v. Louis H. Rapoport & Sons* (1942) 53 Cal.App.2d 644, 651.)

Here, Defendant calculates the running of the four-year statutory period from June 16, 2018, the day of the fire, and the day that it maintains the claimed “damages” were incurred. But in the FAC, Plaintiff alleges that the Lease, the agreement on which the breach cause of action is based, was *first* breached on December 13, 2021, when Defendant refused to pay it for the damages caused by the fire after CSAA apparently rejected Plaintiff’s claim. (FAC, ¶ 12.) The Court can only surmise that Defendant is perceiving the breach of contract claim to be based on the breach of the provision of the Lease pertaining to Defendant agreeing to take steps to avoid fire hazards in the Premises, as opposed to the provision concerning his obligation to reimburse Plaintiff for damages caused by any violation of the Lease Agreement, improper use of the Premises, or the negligence of Defendant or their guests. This is because Defendant’s position that the FAC is untimely is predicated on the alleged breach occurring on the *day* of the fire and that fire being caused by Defendant’s Lease-violating conduct, rather than when a demand for reimbursement was made by Plaintiff and refused by Defendant.

Because it is unclear precisely *what* provision of the Lease the breach of contract claim is actually based on, it is not clear to the Court *when* the claim accrued. As such, the Court does not believe it needs to even address Plaintiff's response in its opposition concerning equitable estoppel and equitable tolling, because if the Court accepts, as alleged, that the Lease was breached on December 13, 2021, this action was filed well within four years of that date, rendering it timely.

Defendant may very well be able to make an argument that the breach of contract claim accrued at an earlier date than December 13, 2021, particularly on the day of the fire, but as it stands at this juncture, based solely on what is alleged in the FAC, the Court cannot say that Plaintiff's action is "clearly and affirmatively" time barred. Accordingly, Defendant's demurrer to the FAC on the ground of failure to state facts sufficient to constitute a cause of action is OVERRULED.

The Court grants Defendant leave to answer within 10 days of service of the final order. (Cal Rules of Court, Rule 3.1320(g).)

The Court will prepare the final order.

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Calendar Line 3

Case Name: *Wendy Warren vs Roygbiv Real Estate Development, LLC*

Case Number: 24CV428897

The full nature and quality of the meet and confer efforts by both parties is unclear and unsatisfactory from the record before the Court. The hearing on the motions to compel and their attendant requests for sanctions is CONTINUED to April 4, 2025 at 9 a.m. in Department 13. The parties are ORDERED to (1) further meet and confer, either in person, by phone, or video conference, for each of the items in dispute in all five motions to compel, and (2) file a JOINT statement no later than March 26, 2025, identifying the discovery items in those motions *that remain in dispute*, if any, and the *specific* legal and factual reasons why they should be compelled or not compelled. Boilerplate or cut-and-paste arguments are discouraged.

All counsel attest to being seasoned and professional. Accepting this premise, the Court believes that further efforts could bear fruit so as to avoid the necessity for a formal order on each issue currently presented regarding the four methods of discovery and the five efforts to compel. The parties are well aware that "[a] reasonable and good faith attempt at informal resolution entails something more than bickering with [opposing] counsel Rather, the law requires that counsel attempt to talk the matter over, compare their views, consult, and deliberate." (*Townsend v. Superior Court* (1998) 61 Cal.App.4th 1431, 1439.) Setting aside the parties' perspectives on each other's efforts up to this point, they must abide by this approach moving forward.

Reviewing the entire correspondence between the parties, to the extent it is provided here, it is apparent to the Court that while Mr. Borger's July 24, 2024 "meet and confer" letter contained its share of charged words and phrases directed at Defendant (e.g., "woefully deficient and improper," "entirely intended to obfuscate discovery," "sanctionable," "gamesmanship"), it was Mr. Borger's email of July 25, 2024 at 6:45 a.m. to Legal Assistant Warkenin that set a tone contrary to the spirit of reasonable, dispassionate, deliberate, and professional effort toward informal resolution. Mr. Borger's communication retains this tone throughout.

The quality of Defendant's subsequent responses and behavior, in specific and in total, is open to debate, but the Court does not fault Defendant for describing Plaintiff's counsel's email, which was addressed to and directed at Legal Assistant Warkentin, as "hostile, rude, and unprofessional." And the Court is not persuaded that this characterization would be inaccurate even if the email had been for attorney's eyes only. The Court also notes that Attorney Covello's initial declaration in support of the motion to compel makes no mention of unpleasant or unprofessional behavior on the part of Defendant's counsel during the August 9, 2024 phone call. (Covello Decl., September 30, 2024, ¶ 12.) These accusations are made for the first time in Plaintiff's reply. (Covello Decl., February 28, 2025, ¶¶ 6-9.)

Some progress was made by Ms. Covello and Ms. Welling during that August 9, 2024 session, and immediately after, both parties claimed to have had an interest in additional conversations and efforts to reach agreements. Circumstances that Defendant claimed were complications at that time no longer exist (i.e., the Verified First Amended Complaint is filed, and Defendant has Answered). The Court acknowledges Plaintiff's desire to move the case forward. This desire is likely informed, at least in part, by the many alleged extensions given